NOTE J: INCOME TAXES

The Company's expense for income taxes is summarized as follows:

	Year ended December 31,		
	2000	1999	1998
CURRENT			
Federal	$ 46,988	$ 36,633	$ 22,453
State	8,126	6,335	4,491
Total current	55,114	42,968	26,944
DEFERRED			
Federal	(2,154)	(279)	3,852
State	(372)	(48)	770
Total deferred	(2,526)	(327)	4,622
Total expense	$ 52,588	$ 42,641	$ 31,566

The following table reconciles the statutory federal income tax rate to the Company's effective income tax rate:

	Year ended December 31,		
	2000	1999	1998
Income taxes at federal statutory rate	35.0%	35.0%	35.0%
State income taxes, net of federal tax	4.0	4.0	4.5
Other, net	--	--	2.5
Effective rate	39.0%	39.0%	42.0%

Deferred income taxes reflect the net tax effects of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for income tax purposes.

Significant components of the Company's deferred tax assets and liabilities as of December 31 were as follows:

	2000	1999
DEFERRED TAX ASSETS		
Inventory valuation differences, operating reserves and accruals	$ 38,009	$ 34,297
Other	1,298	1,693
Total deferred tax assets	39,307	35,990
DEFERRED TAX LIABILITIES		
Installment sales method and deferred gains	(2,438)	(2,100)
Other	(2,011)	(1,756)
Total deferred tax liabilities	(4,449)	(3,856)
Net deferred tax asset	$ 34,858	$ 32,134

The Company has determined that no valuation allowance for the deferred tax asset is required. The Company had a current tax liability of $12,321 and $11,104 as of December 31, 2000 and 1999, respectively.